respectable exit option for him. Just two days before the company's much-awaited board meeting, he asked Kerkar to step aside and become the non-executive vice chairman. By then, he had rejected Kerkar's candidates. However, Kerkar, upset that his nomination of potential successors had been rejected, refused to accept the group chairman's suggestion.

Faced with this situation, senior Tata executives, led by Palkhivala, revealed to the media that the Tatas believed Kerkar to be guilty of violating the Foreign Exchange Regulation Act (FERA). The group had no choice but to inform the RBI about the wrongdoing.

Tata Sons was not even aware of the maze of complex transactions involving IHCL that Kerkar had concluded, says Soonawala. Many of these came to the notice of the group only when various parties involved in the transactions approached Tata Sons when they faced problems with the company. Kerkar, however, refuted all the charges. But the company's board members—Ratan, Palkhivala, Soonawala, Bhabha and Vakil—in a letter dated 26 August 1997 addressed to Kerkar, meticulously listed the foreign exchange violations. The letter alleged that Kerkar's actions lacked 'fiduciary responsibility, good governance and transparency'. The allegations against him included matters relating to the purchase of Global Depository Receipts (GDRs) issued by an IHCL subsidiary, Orient Hotels, 'to the tune of US$30 million', receiving a 'security deposit of US $6.5 million', without filing an application with RBI, a 'FERA violation' and something that was kept away from internal as well as statutory auditors, and IHCL engaging in business transactions with the travel company Cox & Kings, which by 1996 was 'controlled by Mr. Kerkar and his family', and which for several years was run by Kerkar's son, Peter Kerkar. All these overshadowed his achievements, commented a leading journal.

The Last Stance

It was under the shadow of these revelations that the IHCL board met on 28 August 1997. Kerkar chose to stay away. On 1 September, he sent a letter to Ratan, Soonawala, Palkhivala, Bhabha and Vakil, claiming that their allegations were totally unwarranted. However, the evidence was too strong for Kerkar to paper over.

The board met again as scheduled on 2 September 1997. Ajit Kerkar was replaced by Krishna Kumar, who was appointed as the MD of IHCL. S. Ramakrishnan took over as deputy managing director. On 13 September,